

Operations Agreement

TSD Modernization Solutions

Effective June 6, 2026

This Operations Agreement (the “Agreement”) is made effective **June 6, 2026** among:

- **TSD Ventures, LLC**, a North Carolina limited liability company (the “Company”), by its sole member **Nash M Davis** (“Nash”);
- **Grant Tadlock** (“Grant”); and
- **Bishop Switzer** (“Bishop”).

Grant and Bishop are each referred to as a “Sales Contractor.” It sets out how the three work together on the Company’s **TSD Modernization Solutions** brand and how the Sales Contractors are paid.

1. Relationship and Ownership

The Company is owned **100% by Nash** as its sole member. Grant and Bishop are **independent contractors**. Neither is an employee, partner, or member, and **neither holds any ownership, equity, membership, or profit interest in the Company or its brands**. Any title a Sales Contractor uses (CFO, COO, or similar) is a working label and grants no ownership and no authority beyond Section 3. Each Sales Contractor is responsible for their own taxes and carries their own expenses unless the Company agrees otherwise in writing.

2. Roles

- **Nash — Owner and Delivery.** Owns all technical delivery (websites, AI integrations, deployments, analytics, SEO), sets pricing, signs every client contract, and controls the Company’s accounts and finances. Nash is the final decision-maker on all Company matters.
- **Grant — Sales.** Sources and closes TSD Modernization Solutions prospects, runs the field pitch and deposit flow, and manages the sales pipeline.
- **Bishop — Sales.** Sources and closes TSD Modernization Solutions prospects, including remotely, and supports the pipeline.

3. Authority and Limits

A Sales Contractor may present only Company-approved prices and may apply only discounts that Nash has pre-authorized (for example, promo codes within the floor Nash sets). A Sales Contractor has **no authority to sign contracts, set or improvise final pricing, discount below Nash’s floor, or otherwise bind the Company** without Nash’s written approval.

4. Commission

This Section governs all commission paid under this Agreement. Every build pays two kinds of commission, both calculated on the **per-deal Gross Profit** of a one-time Modernization website/AI build (defined in 4.3) and both subject to the earned, payment, and clawback rules in 4.5–4.7.

4.1 Closing commission — 30%. The Sales Contractor who closes a build as the representative of record earns **30% of that build's Gross Profit**. Nash, as owner, earns no closing commission on builds he closes himself.

4.2 Team override — 5%. On every build, each Sales Contractor who did **not** close it earns a **5% override of that build's Gross Profit**, regardless of who closed it:

- **Nash closes** → Grant 5% and Bishop 5% (no closing commission paid).
- **Grant closes** → Grant 30% (closer) and Bishop 5% (override).
- **Bishop closes** → Bishop 30% (closer) and Grant 5% (override).

If the two Sales Contractors share the closing credit on a deal, they split the closing commission under 4.5 and no override applies.

4.3 Gross Profit defined.

Gross Profit = Collected Build Revenue – Direct Costs of that deal.

- **Collected Build Revenue** is the cash the Company actually collects for the build (after any discount the client received), not invoiced or signed amounts.
- **Direct Costs** are third-party costs tied specifically to delivering that deal: domain registration, that client's hosting (e.g., Vercel, Supabase), AI usage spent on the build (e.g., Anthropic API, Vapi), payment-processing fees on the deal (e.g., Square), any subcontractor or contract labor, and any third-party software or license bought specifically for that client.
- **Not deducted:** Nash's time or labor, general Company overhead, and shared tools or subscriptions used across multiple clients. These stay with the Company and do not reduce Gross Profit.

4.4 Recurring revenue excluded. Both the closing commission and the override apply to the **one-time build only**. All recurring Managed AI revenue (\$73–\$373/mo) belongs **100% to the Company**, with no commission.

4.5 When earned. Commission is earned only on cash the Company has **actually collected** for the build. A deal is creditable to the Sales Contractor who is the originating and closing representative of record. If two Sales Contractors materially share a deal, they split the commission as they agree **in writing in advance**; absent that, Nash allocates the credit. Nash resolves any credit dispute.

4.6 Payment. Earned commission is paid **monthly, by the 15th of the month after the Company collects the payment**.

4.7 Refunds and the money-back guarantee. Commission is calculated net of refunds, chargebacks, and the Company's 100% money-back guarantee. If a deal is refunded after commission is paid, that commission is **clawed back** from future commissions or repaid by the Sales Contractor.

Worked example (illustrative)

Build cash collected: **\$6,000**. Direct Costs: domain \$20 + AI usage on the build \$50 + Square fees ~\$180 = **\$250**. Gross Profit = **\$5,750**.

- **If Grant closes:** Grant earns 30% = **\$1,725**, Bishop earns a 5% override = **\$287.50**, and the Company keeps **\$3,737.50**.
- **If Nash closes:** Grant and Bishop each earn 5% = **\$287.50**, and the Company keeps **\$5,175**.

Either way, a \$150/mo Managed AI plan on that client stays 100% with the Company.

5. Expenses and Taxes

Each Sales Contractor covers their own business expenses and their own taxes. The Company reimburses only expenses it approves in writing in advance. The Company issues a Form 1099 as required by law.

6. Confidentiality and Non-Solicitation

Each Sales Contractor will keep the Company's client lists, pricing, methods, and tools confidential. For **12 months** after this Agreement ends, a Sales Contractor will not solicit the Company's clients or prospects for a competing service.

7. Term and Termination

This Agreement is at-will. Any party may end their participation on **14 days'** written notice. Commission on builds the Company collected before termination remains payable under Section 4, including clawback on later refunds. Sections 1, 6, and 8 survive termination.

8. Disputes, Amendment, and Governing Law

Nash resolves all questions of deal credit and commission calculation. This Agreement is the entire understanding among the parties on these matters and **supersedes any prior commission terms** (including the earlier 15%-of-revenue arrangement). It may be amended only in a writing signed by all parties, except that pre-authorized discount floors may be updated in a writing signed by the Company and the affected Sales Contractor. This Agreement is governed by the laws of the State of North Carolina.

COMPANY

By: _____ Date: _____

Nash M Davis, Sole Member — TSD Ventures, LLC

1241 Audubon Dr, Gastonia, NC 28054

SALES CONTRACTOR

Signature: _____ Date: _____

Grant Tadlock

Address: [_____]

SALES CONTRACTOR

Signature: _____ Date: _____

Bishop Switzer

Address: [_____]